EXECUTIVE SUMMARY

A. Introduction

Agency Profile

Buguey was founded and created on May 20, 1623 as a town by virtue of the Royal Decree issued by the King of Spain. The Municipality is situated at the northern part of the Province of Cagayan. It is bounded on the north by the Babuyan Channel, on the south by the Municipality of Lal-lo, on the east by the Municipality of Sta Teresita (former part of Buguey) and on the west by the Municipality of Aparri.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Buguey for CY 2022 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards (PPSASs), and whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

B. Financial Highlights

The highlights of the financial condition, financial performance, appropriation, allotments and obligations of the Municipality of Buguey, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	303,255,726.15	241,740,617.23	61,515,108.92
Liabilities	75,835,908.07	72,900,965.44	2,934,942.63
Government Equity	227,419,818.08	168,839,651.79	58,580,166.29
Financial Performance			
Income	203,523,149.20	150,181,787.76	53,341,361.44
Expense	156,190,740.62	136,640,568.27	19,550,172.35
Appropriations, Allotments and Obligation			
Appropriations	194,236,385.00	156,320,055.20	37,916,329.80
Allotments	194,236,385.00	156,320,055.20	37,916,329.80
Obligations	182,621,886.54	148,235,717.22	34,386,169.32

C. Independent Auditor's Report on the Financial Statements

The auditor rendered a qualified opinion on the fairness of presentation of the financial statements of the Municipality of Buguey, Cagayan for the year-ended December 31, 2022 due to: (1) non-conduct of the one-time cleansing procedures for its PPE and non-submission of the Report on Physical Count of Property, Plant and Equipment, and inclusion of properties below the capitalization threshold of P15,000.00 in the Property, Plant and Equipment account of the Municipality, with a net book value of P208,358,529.28; (2) existence of bank reconciling items reflected in the Bank Reconciliation Statements amounting to P10,490,035.69, which remained unadjusted for a long period of time; and (3) existence of long outstanding receivables amounting to P1,250,537.37.

D. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. **The validity, existence, and reliability of the reported balance of Property, Plant and Equipment account amounting to P208,358,529.28 as of December 31, 2022 cannot be determined due to non-conduct of the one-time cleansing procedures for its PPE and non-submission of the Report on Physical Count of Property, Plant and Equipment, contrary to COA Circular 2020-006 dated January 31, 2020 and Section 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.**

   We recommended that the Management submit the Inventory Report using the prescribed form of Report of Physical Count of Property, Plant and Equipment showing relevant information, such as property number, unit value, balance of PPE per property cards and per count pursuant to COA Circular No. 2020-006 dated January 31, 2020 and undertake all other procedures prescribed under the same Circular to come up with the reconciled and correct balances of PPE accounts in the financial statements.

2. **Properties below the capitalization threshold of P15,000.00 are still included in the Property, Plant and Equipment account of the Municipality, contrary to Item 4.2 of COA Circular No. 2020-006 dated January 31, 2020, and Item 2.2 of Circular No. 2005-002 dated April 14, 2005, thus, casts doubt on the reliability of the balance of the said account amounting to P208,358,529.28 as of December 31, 2022.**

   We recommended that the Management, thru the Local Chief Executive:

   a. Instruct the Municipal Accountant to prepare the adjusting entries for the reclassification of PPE items below the capitalization threshold of P15,000.00 to appropriate accounts; and

b. Instruct the GSO-Designate to cancel the Property Acknowledgement Receipts of the properties below the capitalization threshold and issue an Inventory Custodian Slip in lieu thereof.

3. **Reconciling items as reflected in the Bank Reconciliation Statements as of December 31, 2022 totaling to P10,490,035.69 remained unadjusted for a long period in the books of accounts of the LGU, hence, rendering the accuracy and propriety of the reported balance of the Cash in Bank account amounting to P13,480,198.44, doubtful and unreliable, in violation of Section 74 of Presidential Decree No. 1445.**

   We recommended that the Municipal Accountant exert more effort in identifying the details, nature and the supporting documents of the enumerated reconciling items considering that she is the one who determined the same as reconciling items in CY 2013.

   Further, we recommended that the Municipal Accountant adjust all reconciling items determined during the preparation of the Monthly Bank Reconciliation Statements on a timely basis for an accurate and correct Cash in Bank account balance reflected in the financial statements of the Municipality. Likewise, timely adjustment of said reconciling items will ensure prompt identification of discrepancies and the parties at fault, the information for its existence and its ultimate adjustment in the books by the party who committed such error or discrepancy.

4. **Other Receivables account amounting to P1,250,537.37 as of December 31, 2022, remained outstanding for more than ten (10) years, contrary to Section 2 of Presidential Decree 1445, Section 6.1 of COA Circular 2016-005 and pertinent provisions of COA Circular 2012-004, thus, affecting the fair presentation of these accounts in the Financial Statements.**

   We recommended that the Management, thru the Local Chief Executive:

   a. Exhaust all possible remedies available to collect the receivables from the persons liable, such as resorting to all legal remedies available to the LGU;

   b. File the request for authority to write-off the dormant Other Receivables account, after exhausting all possible remedies, to the Office of the Auditor supported with the required documents enumerated in Item 8.3 of COA Circular 2016-005 dated December 19, 2016; and

   c. Strictly comply with Item 6.1 of COA Circular 2016-005 and pertinent provisions of COA Circular 2012-004 on the regular monitoring and

analysis of receivable accounts to ensure that these are collected when due and the immediate liquidation and settlement of all cash advances.

E. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	33,333,815.32	-	987,617.24	32,346,198.08	2.96%
Current Year	-		-	-	
Total	**33,333,815.32**	**-**	**987,617.24**	**32,346,198.08**	**2.96%**
Disallowances					
Prior Years	-	1,327,227.46	68,246.22	1,258,981.24	5.14%
Current Year	-	-	-	-	
Total	**-**	**1,327,227.46**	**68,246.22**	**1,258,981.24**	**5.14%**
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	**-**	**-**	**-**	-	

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the sixteen (16) audit recommendations in the prior year's Annual Audit Report, twelve (12) were fully implemented and four (4) were not implemented and reiterated in Part II of this Report.